investor confusion and/or overwhelm investors? If so, is there any way to preserve the ability of funds to rely on rule 30e-1(d) while mitigating these potential negative effects?

I. Investment Company Advertising Rule Amendments

As part of our proposed improvements to fund fee and expense information for investors, we are proposing to amend the Commission's investment company advertising rules (for purposes of this release, Securities Act rules 482, 156, and 433 and Investment Company Act rule 34b-1) to promote transparent and balanced presentations of fees and expenses in investment company advertisements.[648] As investment companies increasingly compete and market themselves on the basis of costs, we are concerned that investment company advertisements may mislead investors by creating an inaccurate impression of the costs associated with an investment.[649] The proposed advertising rule amendments would generally apply to all investment companies, including mutual funds, ETFs, registered closed-end funds, and BDCs.[650] Under the proposed amendments, investment company fee and expense presentations in advertisements would have to include timely and prominent information about a fund's maximum sales load (or any other nonrecurring fee) and gross

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648 For purposes of this release, we generally refer to the types of investment company communications covered by rules 482, 156, 433, and 34b-1 as "advertisements," unless otherwise noted. Although the Commission recently proposed rule amendments relating to investment adviser advertisements, that proposal did not address investment company advertising rules. *See* Investment Adviser Advertisements; Compensation for Solicitations, Investment Advisers Act Release No. 5407 (Nov. 4, 2019) [84 FR 67518 (Dec. 10, 2019)].

649 *See supra* Section I.C.

650 As a result, for purposes of this Section II.I, the term "fund" is not limited to mutual funds and ETFs registered on Form N-1A. Instead, we use this term more broadly in this Section to refer to any investment company that is subject to the Commission's investment company advertising rules, including registered closed-end funds and BDCs.

total annual expenses, based on the methods of computation that the company's Investment Company Act or Securities Act registration statement form prescribes for a prospectus.[651] We also are proposing to amend rule 156 to provide factors an investment company should consider to determine whether representations in its advertisements about the fees and expenses associated with an investment in the fund could be misleading.[652]

Investment company advertisements, including advertisements regarding registered investment companies and BDCs, typically are prospectuses for purposes of the Securities Act.[653] These advertisements are typically subject to rule 482, which provides a framework in which investment company advertisements are deemed to be "omitting prospectuses" that may include information the substance of which is not included in a fund's statutory or summary prospectus.[654] Rule 482 establishes certain content, legend, and filing requirements for investment company advertisements. Many of the rule's content requirements focus on advertisements that include performance data of certain types of funds, including mutual

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651 *See* proposed rule 482(i) and (j); proposed rule 34b-1(c); proposed rule 433(c).

652 *See* proposed rule 156(b)(4).

653 *See* section 2(a)(10) of the Securities Act (defining the term "prospectus" to mean any prospectus, notice, circular, advertisement, letter, or communication, written or by radio or television, which offers any security for sale or confirms the sale of any security, subject to certain exceptions, including an exception for a communication that generally was accompanied or preceded by a statutory prospectus).

654 *See* section 10(b) of the Securities Act; rule 482(a) under the Securities Act (stating that the rule applies to an advertisement or other sales material with respect to securities of a registered investment company or BDC that is selling or proposing to sell its securities pursuant to a registration statement that has been filed under the Securities Act, unless the advertisement is excepted from the definition of prospectus by section 2(a)(10) of the Securities Act or rule 498(d), or is a summary prospectus under rule 498).

funds, ETFs, certain separate accounts, and money market funds.[655] For example, the rule provides a standardized formula for these funds to calculate performance data included in their advertisements.[656] Instead of relying on rule 482, registered closed-end funds and BDCs may use free writing prospectuses in accordance with rule 433 and certain other Commission rules for advertising purposes.[657] Because both rule 482 advertisements and free writing prospectuses are treated as prospectuses under section 10(b) of the Securities Act, they are subject to liability under section 12(a)(2) of the Securities Act—which imposes liability for materially false or misleading statements in a prospectus or oral communications—as well as the antifraud provisions of the Federal securities laws.[658]

Rule 34b-1 applies to supplemental sales literature (*i.e.*, sales literature that is preceded or accompanied by a prospectus) by any registered open-end company, registered unit investment trust, or registered face-amount certificate company.[659] Rule 34b-1 includes many of the same requirements as rule 482, including the same performance-related requirements.[660] The Commission adopted rule 34b-1 to ensure that performance claims in supplemental sales literature would not be misleading and to promote comparability and

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655 *See* rule 482(b)(3), (d), (e), and (g).

656 *See* rule 482(d) and (e).

657 *See* Closed-End Fund Offering Reform Adopting Release, *supra* footnote 128, at Section II.F.1; rules 164 and 433 under the Securities Act [17 CFR 230.164 and 17 CFR 230.433].

658 *See, e.g.*, section 12(a)(2) of the Securities Act [77*l*]; section 17(a) of the Securities Act [15 U.S.C. 77q]; section 10(b) of the Exchange Act [15 U.S.C. 78j]; section 34(b) of the Investment Company Act [15 U.S.C. 80a-33]; section 206 of the Investment Advisers Act of 1940 [15 U.S.C. 80b-6].

659 *See* rule 34b-1 under the Investment Company Act; section 24(b) of the Investment Company Act.

660 *See* rule 34b-1(b)(1)-(2) under the Investment Company Act.

uniformity among supplemental sales literature and rule 482 advertisements.[661] Supplemental sales literature is subject to the general antifraud provisions of the Federal securities laws.

Rule 156 states that whether or not a particular description, representation, illustration, or other statement involving a material fact is misleading depends on evaluation of the context in which it is made. The rule discusses several pertinent factors that should be weighed in considering whether a particular statement involving a material fact is or might be misleading in investment company sales literature, including rule 482 advertisements and supplemental sales literature.[662] Rule 156 applies to sales literature used by any person to offer to sell or induce the sale of securities of any investment company, including registered investment companies and BDCs.[663]

Currently, the investment company advertising rules largely focus on performance-related information.[664] Among other things, the performance-related provisions of these rules

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661 *See* Advertising by Investment Companies, Investment Company Act Release No. 16245 (Feb. 2, 1988) [53 FR 3868 (Feb. 10, 1988)], at Section III; Advertising by Investment Companies; Proposed Rules and Amendments to Rules, Forms, and Guidelines, Investment Company Act Release No. 15315 (Sept. 17, 1986) [51 FR 34384 (Sept. 26, 1986)], at nn.77 and 78 and accompanying text.

662 *See* Mutual Fund Sales Literature Interpretive Rule, Investment Company Act Release No. 10915 (Oct. 26, 1979) [44 FR 64070 (Nov. 6, 1979)] ("Rule 156 Adopting Release").

663 For purposes of rule 156, investment company sales literature includes any communication (whether in writing, by radio, or by television) used by any person to offer to sell or induce the sale of securities of any investment company. *See* rule 156(c) [17 CFR 230.156(c)]. Communications between issuers, underwriters and dealers are included in this definition of sales literature if such communications, or the information contained therein, can be reasonably expected to be communicated to prospective investors in the offer or sale of securities or are designed to be employed in either written or oral form in the offer or sale of securities.

664 Rule 433 does not include performance-related requirements for registered closed-end fund or BDC free writing prospectuses. Currently, most rule 482 content requirements, including the performance-related requirements, do not apply to registered closed-end funds and BDCs.

are designed to: (1) address concerns that investors would be unable to compare fund performance when funds use different calculation methods in their advertisements;[665] and (2) highlight areas that, based on the Commission's experience with investment company advertisements, have been particularly susceptible to misleading statements.[666] The investment company advertising rules do not presently require information about an investment company's fees and expenses or limit how fee and expense information is presented, with one exception. Under the current rules, if an advertisement provides performance data of an open-end management investment company or a separate account registered as a unit investment trust offering variable annuity contracts, it also must include the maximum amount of the fund's sales load (*i.e.*, purchase charge or exit charge) or any other nonrecurring fee that it charges.[667]

Separately, FINRA rule 2210 requires fee and expense information in certain non-money market fund open-end management investment company advertisements that provide performance information.[668] This includes: (1) the fund's maximum sales charge (*i.e.*, purchase charge or exit charge); and (2) the total annual fund operating expense ratio, gross of any fee waivers or expense reimbursements (*i.e.*, ongoing annual fees). Under FINRA's rule,

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665 *See* Rule 156 Adopting Release, *supra* footnote 662, at Section I.2.

666 *See* Rule 156 Adopting Release, *supra* footnote 662; Investment Company Sales Literature Interpretive Rule, Investment Company Act Release No. 10621 (Mar. 8, 1979) [44 FR 16935 (Mar. 20, 1979)], at paragraph accompanying n.5.

667 *See* rule 482(b)(3)(ii); rule 34b-1(b)(1)(i).

668 FINRA rule 2210(d)(5). This provision only applies to retail communications and correspondence that present non-money market fund open-end management investment company data as permitted by rule 482 and rule 34b-1.